their economies to import from the industrialized North.[13]

Though aid from these agencies helps in fostering development of the Third World countries, nevertheless, as the major contribution to these International financial agencies comes from the United States and Western countries, they have a greater say in the decision-making of these agencies. They decide the amount of aid to be given and conditions to be attached as a result of which, to a great extent, the rate of economic development and the economic policies of the poor countries get determined by the rich North. It is said that "The benefits of such international aid have been marginal in the long run; and had only perpetuated the dependence of third world countries on such aid".[14]

Multinational Corporations (MNCs)

Multinational Corporations are becoming crucial and powerful non-state actors in international relations. Some of the industrial MNCs have annual sales of tens of billions of dollars each and international firms such as the IBM, Unilever, Coca Cola and others have become more powerful than the sovereign states. Whether MNCs serve as agents of national governments or national governments serve as agents of MNCs, the truth is that both guard each other's interests and state interventions whether military or economic result when their interests in the Third World countries are jeopardized. For instance, nationalization of the Suez Canal Company in 1956 by President Nasser invited a major Anglo–French invasion of Egypt. The MNCs in Latin America, Africa and Asia exercise a powerful influence on the government's policy-making.

Critics of neo-colonialism point out that investment by multinational corporations enriches few in the developing countries, and causes humanitarian, environmental and ecological devastation to the populations which inhabit the *neo-colonies*. This results in unsustainable development and perpetual underdevelopment; a dependency situation which renders those countries as reservoirs of cheap labour and raw materials, while restricting their access to advanced production techniques to develop their own economies and, thereby, thwarting their pace of development and self-